

FEDERAL MARITIME COMMISSION

DOCKET NO. 22-25

**B & G FUTURES INC. – REVOCATION OF OCEAN TRANSPORTATION
INTERMEDIARY LICENSE NO. 026512**

VERIFIED STATEMENT OF ALINE HULL

1. My name is Aline Hull and I am currently the Director of Office of Ocean Transportation Intermediaries (OTIs) at the Bureau of Certification and Licensing (BCL) at the Federal Maritime Commission (Commission). My office address is 800 North Capitol Street, N.W., Suite 970, Washington, D.C. 20573. I have been employed by the Commission for sixteen years, initially as an OTI Industry Analyst, and have been the OTI Director for seven years. I have personal knowledge of the facts stated herein and could competently testify herein.

In my capacity as the OTI Director, I have received, investigated, reviewed, and either recommended for approval or denial applications of entities requesting to be licensed as OTIs under authority delegated by the Commission pursuant to 46 C.F.R. § 501.16. During my tenure in this position, I have reviewed over 4,000 new and amended license applications in addition to numerous cancellations and revocations.

2. Records maintained by B & G Futures Inc. (B & G Futures) indicate that B & G Futures is an Ohio corporation, organized in 2016, with principal office located at 3700 Columbus Rd NE, Canton, Ohio, 44705.
3. According to BCL records, B & G Futures has been licensed to operate as an OTI pursuant to FMC license no. 026512 since October 2017. *See* Exhibit 2 at BEIC000017; *see also* Exhibit at BEIC000024.
4. Mr. Robert Waalkes was the Secretary of B & G Futures from July 26, 2017 (Filing ID 110235, FMC-18) and approved as the Qualifying Individual (QI) on September 5, 2017. License no. 026512 was effective October 3, 2017, with license letter confirming Robert Waalkes as Secretary/QI.
5. Licensees are required by 46 C.F.R. § 515.14 (d) to complete a triannual renewal electronically no later than the renewal due date published on the FMC website. The renewal system auto populates data reported in the Form FMC-18 as follows: company name, trade names if any, principal place of business address, telephone, fax, contact name, contact email, name of Qualifying Individual, tax identification number, business entity type, date of incorporation, State of incorporation, all officer names and titles, all owners and ownership percentages, any affiliated business entities, any branch office addresses.

6. B & G Futures had a renewal due date of February 28, 2020. This renewal was submitted January 2, 2020, with no change in the auto populated data. The renewal system certification was signed by Steve P. DiPietro, President/Treasurer, certifying under penalties of perjury that he was authorized to submit the OTI license renewal on behalf of B & G Futures and that he had examined the information and to the best of his knowledge and belief, it was true, correct and complete.
7. On November 15, 2021, I was copied in an email to Steve DiPietro (President and 50% owner of B & G Futures) from Cliff Johnson requesting he provide the start and end dates of Mr. Robert Waalkes. The email thread began September, 9, 2021, with receipt of B & G Futures' bond termination, received from B & G Futures' bond company at a BCL email inbox. The email thread continued with Cliff Johnson on October 4, 2021, notifying Chirag Vyas (contact for B & G Futures) that the Ocean Freight Forwarding authority would be cancelled effective October 9, 2021, for failure to maintain the financial responsibility. The response on October 4, 2021, from "B & G Futures Team" attached a replacement Ocean Freight Forwarder bond. Cliff Johnson confirmed receipt and on October 8, 2021, sent an email to Steve DiPietro asking if Robert Waalkes remained a full-time employee and an officer of B & G Futures. On October 12, 2021, Steve DiPietro replied that he thought DPI had updated the QI. Cliff Johnson replied on October 12, 2021, and asked the start and end date of employment of Mr. Waalkes and to submit a replacement QI application no later than 30 days from the date of the email. Cliff Johnson then sent the November 15, 2021, email where I was copied in, as previously stated he again asked for the start and end dates of Mr. Waalkes employment and provided regulatory language regarding revocation of licenses and changes in organization as well as language that if an application proposing a replacement QI was not submitted by November 18, 2021, BCL would formally notify B & G Futures of the intent to revoke the license. *See Exhibit 4 at BEIC000024–29.*
8. On November 15, 2021, I was sent an email from Cliff Johnson with an attached Bob Waalkes resume, in the body of the email Cliff Johnson stated he did not believe Robert Waalkes had ever been an employee of B & G Futures, as evidenced by the resume. Exhibit 7 at BEIC000053–54.
9. On November 17, 2021, I was sent an email from Cliff Johnson that he indicated he had spoken to Bob Waalkes who indicated he had never worked for or heard of B & G Futures. Cliff Johnson indicated he would follow up and obtain same statement from Mr. Waalkes in writing. *Id.*
10. On November 17, 2021, I was sent an email from Cliff Johnson with an attached emailed response from Bob Waalkes confirming he had never been an employee nor was he familiar with B & G Futures. Exhibit 6 at BEIC000050–51.
11. I was copied on emails between Cliff Johnson, Cindy Hennigan and Robert Borden beginning November 17, 2021, indicating an investigation would begin and ultimately in March 2022 that the investigation was completed, and the enforcement report submitted to

the Bureau of Enforcement. Robert Borden advised that Steve DiPietro had made materially false statements regarding Mr. Waalkes' employment. Exhibit 8 at BEIC000060–65.

12. On March 10, 2022, I was sent an email from Cindy Hennigan to proceed with a denied replace QI application and a license revocation action. *Id.* at BEIC000060.
13. On August 24, 2022 BCL issued a letter to revoke. *See* Exhibit 1 at BEIC00003–4.
14. On September 9, 2022 B & G Futures requested a hearing.
15. On August 26, 2022, Mr. Waalkes wrote to me regarding the Notice of Intent to Revoke B & G Futures' license and stated that:

[He] was contacted in November of 2021 and asked if [he] had any recollection of working with B&G Futures. At the time I stated that I did not. I sincerely apologize for the confusion, but I did indeed execute an agreement in 2017 with B & G Futures as a consultant . . . I was introduced to B&G Futures by a close friend and business associate []. At the time I was CEO of US Pack, Inc or [sic] Leominster MA and our organization was primarily in the chemical manufacturing and export business. It was believed that my export experience would be a benefit to his new venture. However, I did not do any work with B&G after this agreement was executed and I ended up moving into another industry.

Attach. 1.

16. On November 29, 2022 I was made aware of three court proceedings in which B & G Futures was named as a debtor or defendant . First was an Oklahoma state court proceeding, International Chemical Company v. B & G Futures, Inc., Steve DiPietro, and Chirag Vyas, case no. CJ-2018-3391 filed in August 13, 2018. Attach. 2.
17. Second was an Oklahoma Federal Court proceeding, International Chemical Company v. B & G Futures, Inc. and Steve DiPietro, case no. 4:20-cv-00151-CVE-FHM. Attach. 3.
18. Lastly was a Northern District of Ohio Bankruptcy Chapter 7 Involuntary Petition Against a Non-Individual with B & G Futures, Inc. as the named debtor and Dan-Bunkering (America) Inc. as the petitioning creditor. Attach. 4. Under 46 C.F.R. § 515.20 (e) B & G Futures was required to report to BCL any voluntary or involuntary bankruptcy filed by or naming a licensee, QI, or officer within 30 days of this change in material fact. B & G Futures did not report this proceeding as required.

I certify, under the penalty of perjury, that the foregoing is true and correct to the best of my knowledge, information, and belief.

Aline Hull Digitally signed by Aline
Hull
Date: 2022.12.07
16:23:24 -05'00'

Aline Hull, Director

Office of Ocean Transportation Intermediaries

Bureau of Certification and Licensing

Executed this 07 day of December 2022